



FIRST QUARTER 2016 FINANCIAL RESULTS

May 4, 2016

zoetis

FORWARD-LOOKING STATEMENTS

This presentation contains forward-looking statements, which reflect the current views of Zoetis with respect to business plans or prospects, future operating or financial performance, future guidance, future operating models, expectations regarding products, future use of cash and dividend payments, tax rate and tax regimes, changes in the tax regimes and laws in other jurisdictions, and other future events. These statements are not guarantees of future performance or actions. Forward-looking statements are subject to risks and uncertainties. If one or more of these risks or uncertainties materialize, or if management's underlying assumptions prove to be incorrect, actual results may differ materially from those contemplated by a forward-looking statement. Forward-looking statements speak only as of the date on which they are made. Zoetis expressly disclaims any obligation to update or revise any forward-looking statement, whether as a result of new information, future events or otherwise. A further list and description of risks, uncertainties and other matters can be found in our Annual Report on Form 10-K for the fiscal year ended December 31, 2015, including in the sections thereof captioned "Forward-Looking Information and Factors That May Affect Future Results" and "Item 1A. Risk Factors," in our Quarterly Reports on Form 10-Q and in our Current Reports on Form 8-K. These filings and subsequent filings are available online at www.sec.gov, www.zoetis.com, or on request from Zoetis.

NON-GAAP FINANCIAL INFORMATION

We use non-GAAP financial measures, such as adjusted net income and adjusted diluted earnings per share, to assess and analyze our operational results and trends and to make financial and operational decisions. We believe these non-GAAP financial measures are also useful to investors because they provide greater transparency regarding our operating performance. The non-GAAP financial measures included in this presentation should not be considered alternatives to measurements required by GAAP, such as net income, operating income, and earnings per share, and should not be considered measures of liquidity. These non-GAAP financial measures are unlikely to be comparable with non-GAAP information provided by other companies. Reconciliation of non-GAAP financial measures and GAAP financial measures are included in the tables accompanying our earnings release and are posted on our website at www.zoetis.com.

JUAN RAMÓN ALAIX
CHIEF EXECUTIVE OFFICER

KEY CEO TAKEAWAYS

SOLID FIRST QUARTER RESULTS

- Diverse portfolio and business model continues to drive performance
- Operational¹ revenue growth led by Companion Animal products, including APOQUEL[®], the addition of Abbott Animal Health, and new vaccines
- Solid revenue growth reflects mix of impacts from additional days in accounting calendar and negative impact of product rationalization and market changes
- Adjusted net income² grew faster than revenue with ongoing execution of efficiency plans and margin improvement

POSITIONED FOR LONG TERM PROFITABLE GROWTH

- Updated full year 2016 and 2017 guidance based on foreign currency and positive business momentum
- Expect to exceed initial savings target for operational efficiency plans by 2017
- Good progress on major new product launches in Companion Animal and availability of APOQUEL without restrictions
- Continue advancing R&D with new approvals and lifecycle innovations

¹Operational growth excludes the impact of foreign exchange

²Adjusted net income and its components are defined as reported U.S. generally accepted accounting principles (GAAP) net income and its components excluding purchase accounting adjustments, acquisition-related costs and certain significant items

PAUL HERENDEEN
CHIEF FINANCIAL OFFICER

INCOME STATEMENT HIGHLIGHTS

	First Quarter		
	2016*	2015*	Change
Revenue	\$1,162	\$1,102	5%
Reported Net Income	204	165	24%
Reported Diluted Earnings Per Share	\$0.41	\$0.33	24%
Adjusted Net Income ¹	239	207	15%
Adjusted Diluted EPS ¹	\$0.48	\$0.41	17%

* Millions of dollars, except per share data

¹Non-GAAP adjusted net income and non-GAAP adjusted diluted earnings per share (non-GAAP financial measures) are defined as reported net income attributable to Zoetis and reported diluted earnings per share, excluding purchase accounting adjustments, acquisition-related costs and certain significant items.

ADJUSTED INCOME STATEMENT HIGHLIGHTS

	First Quarter				
	2016*	2015*	Change	Foreign Exchange	Operational ²
Revenue	\$1,162	\$1,102	5%	(7)%	12%
Adjusted Cost of Sales ¹	378	385	(2)%	(5)%	3%
<i>as a percent of revenue</i>	32.5%	34.9%	NA	NA	NA
Adjusted SG&A Expenses ¹	300	320	(6)%	(5)%	(1)%
Adjusted R&D Expenses ¹	89	80	11%	(4)%	15%
Effective Tax Rate on Adjusted Income ¹	30.9%	27.4%	NA	NA	NA
Adjusted Net Income ¹	239	207	15%	(13)%	28%

*Millions of dollars
NA – Not applicable

¹Adjusted net income and its components and adjusted diluted EPS are defined as reported U.S. generally accepted accounting principles (GAAP) net income and its components and reported diluted EPS excluding purchase accounting adjustments, acquisition-related costs and certain significant items. Adjusted cost of sales, adjusted selling, general and administrative (SG&A) expenses, and adjusted research and development (R&D) expenses are income statement line items prepared on the same basis, and, therefore, components of the overall adjusted income measure.

²Operational growth excludes the impact of foreign exchange.

US SEGMENT PERFORMANCE

	First Quarter				
	2016*	2015*	Change	Foreign Exchange	Operational ¹
Revenue	\$582	\$521	12%	-	12%
Livestock	288	299	(4)%	-	(4)%
Companion Animal	294	222	32%	-	32%
Cost of Sales	131	125	5%	-	5%
Gross Profit	451	396	14%	-	14%
<i>Gross Margin</i>	77.5%	76.0%	NA	-	NA
Operating Expenses	92	81	14%	-	14%
Other (Income)/Deductions	-	-	-	-	-
Earnings ²	359	315	14%	-	14%

*Millions of dollars

NA – Not applicable

¹Operational growth excludes the impact of foreign exchange

²Defined as income before provision for taxes on income

INTERNATIONAL SEGMENT PERFORMANCE

	First Quarter				
	2016*	2015*	Change	Foreign Exchange	Operational ¹
Revenue	\$567	\$571	(1)%	(14)%	13%
Livestock	395	416	(5)%	(14)%	9%
Companion Animal	172	155	11%	(12)%	23%
Cost of Sales	196	204	(4)%	(13)%	9%
Gross Profit	371	367	1%	(13)%	14%
<i>Gross Margin</i>	65.4%	64.3%	NA	NA	NA
Operating Expenses	109	135	(19)%	(11)%	(8)%
Other (Income)/Deductions	2	2	-	(19)%	19%
Earnings ²	260	230	13%	(15)%	28%

*Millions of dollars

NA – Not applicable

¹Operational growth excludes the impact of foreign exchange

²Defined as income before provision for taxes on income

INTERNATIONAL MARKET REVENUE

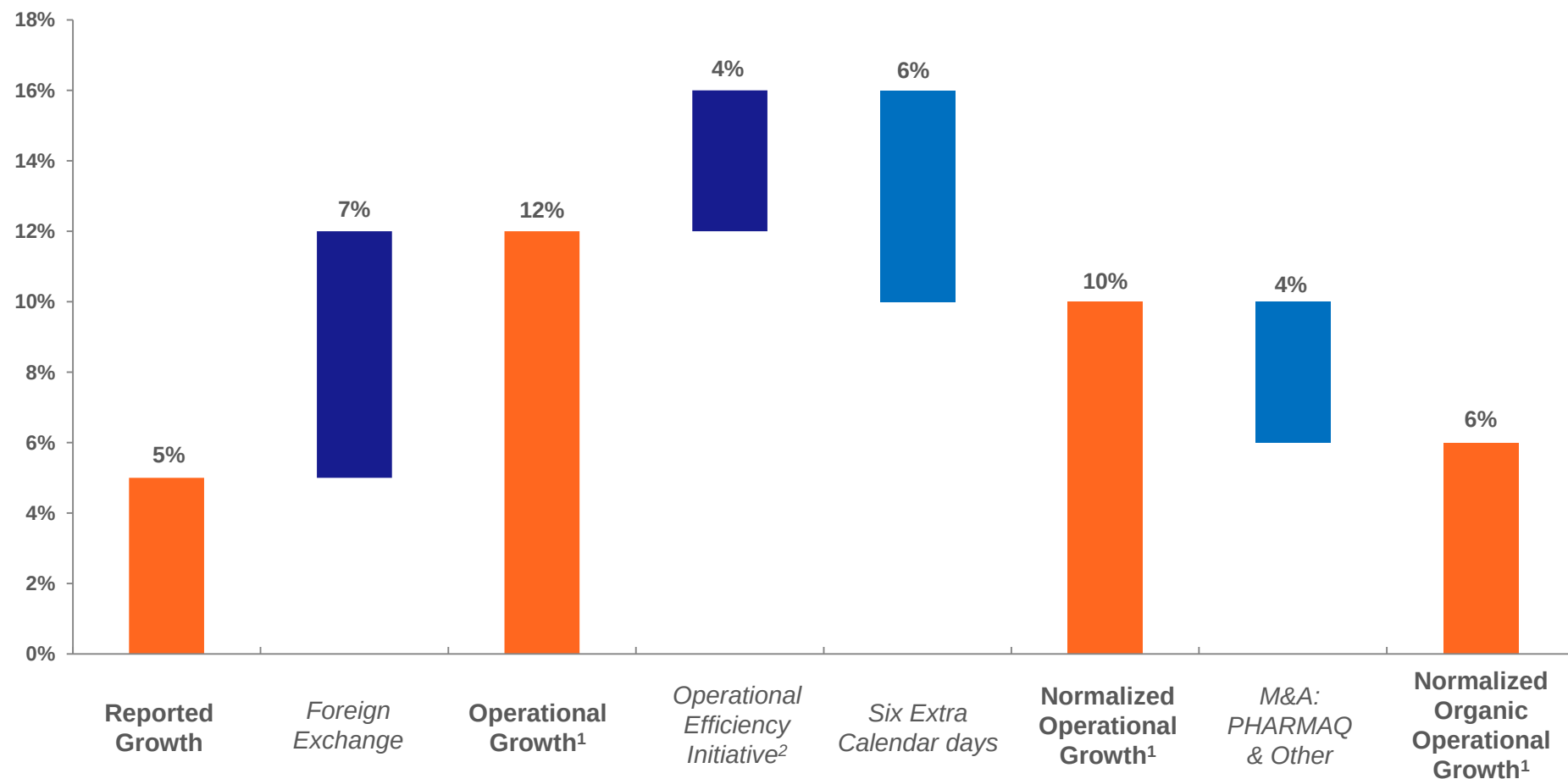
	First Quarter				
	2016*	2015*	Change	Foreign Exchange	Operational ¹
Total International	\$567	\$571	(1)%	(14)%	13%
Australia	35	28	25%	(13)%	38%
Brazil	46	64	(28)%	(36)%	8%
Canada	33	33	-	(14)%	14%
China	38	35	9%	(5)%	14%
France	36	26	38%	(8)%	46%
Germany	29	28	4%	(9)%	13%
Italy	20	25	(20)%	(8)%	(12)%
Japan	31	26	19%	1%	18%
Mexico	19	18	6%	(24)%	30%
Spain	19	19	-	(8)%	8%
United Kingdom	50	42	19%	(5)%	24%
Other Developed	68	65	5%	(8)%	13%
Other Emerging	143	162	(12)%	(13)%	1%

*Millions of dollars

¹Operational growth excludes the impact of foreign exchange.

FIRST QUARTER 2016 TOTAL REVENUE

UNDERSTANDING THE UNDERLYING GROWTH

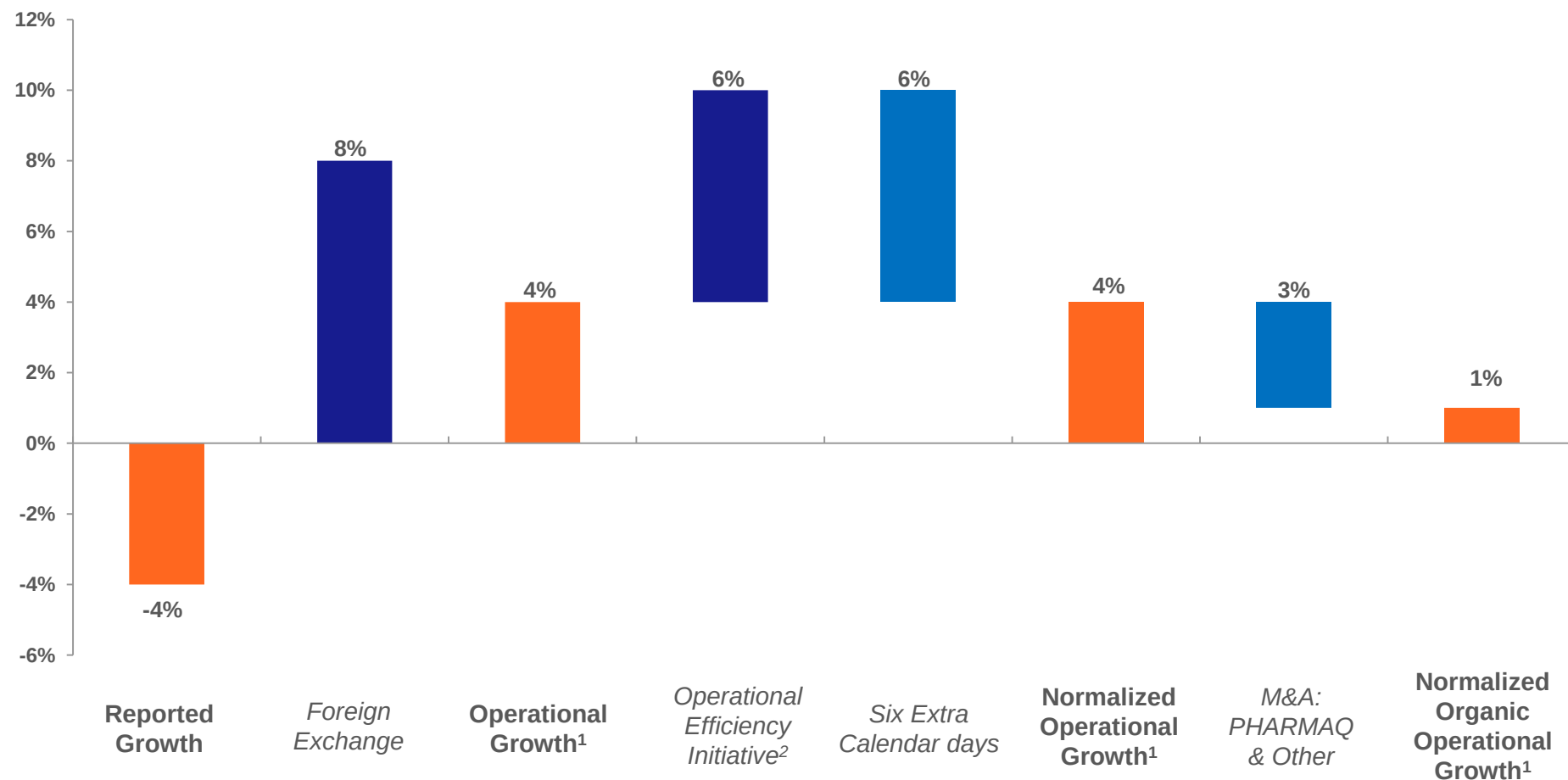


¹Operational growth excludes the impact of foreign exchange

²Includes impact of Venezuela business reduction

FIRST QUARTER 2016 LIVESTOCK REVENUE

UNDERSTANDING THE UNDERLYING GROWTH

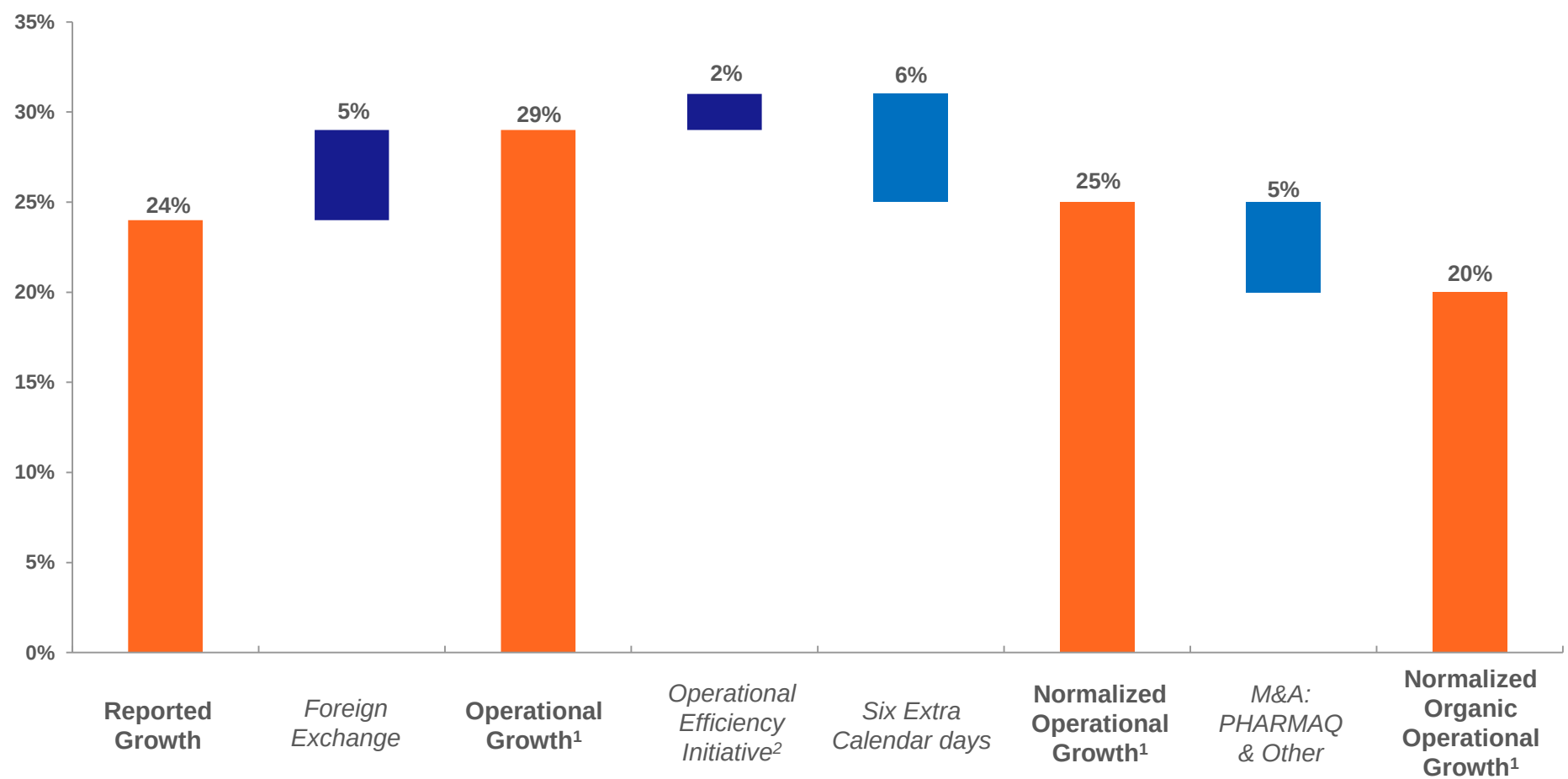


¹Operational growth excludes the impact of foreign exchange

²Includes impact of Venezuela business reduction

FIRST QUARTER 2016 COMPANION ANIMAL REVENUE

UNDERSTANDING THE UNDERLYING GROWTH



¹Operational growth excludes the impact of foreign exchange

²Includes impact of Venezuela business reduction

FINANCIAL GUIDANCE

Selected Line Items (millions of dollars, except per share amounts)	2016	2017
Revenue <i>Operational growth</i> ¹	\$4,775 to \$4,875 3% to 5%	\$5,075 to \$5,275 5% to 9%
Adjusted cost of sales as a percentage of revenue ²	33% to 34%	32% to 33%
Adjusted SG&A expenses ²	\$1,290 to \$1,330	\$1,250 to \$1,340
Adjusted R&D expenses ²	\$360 to \$380	\$360 to \$380
Adjusted interest expense and other (income) / deductions ²	Approximately \$170	Approximately \$150
Adjusted EBIT margin ²	Approximately 31%	Approximately 34%
Effective tax rate on adjusted income ²	Approximately 32%	Approximately 30%
Adjusted diluted EPS ²	\$1.83 to \$1.90	\$2.24 to \$2.38
Adjusted net income ² <i>Operational growth</i> ¹	\$915 to \$950 9% to 13%	\$1,120 to 1,190 20% to 28%
Certain significant items ³ and acquisition-related costs	\$70 to \$120	\$50 to \$80
Reported diluted EPS	\$1.41 to \$1.56	\$2.01 to \$2.19

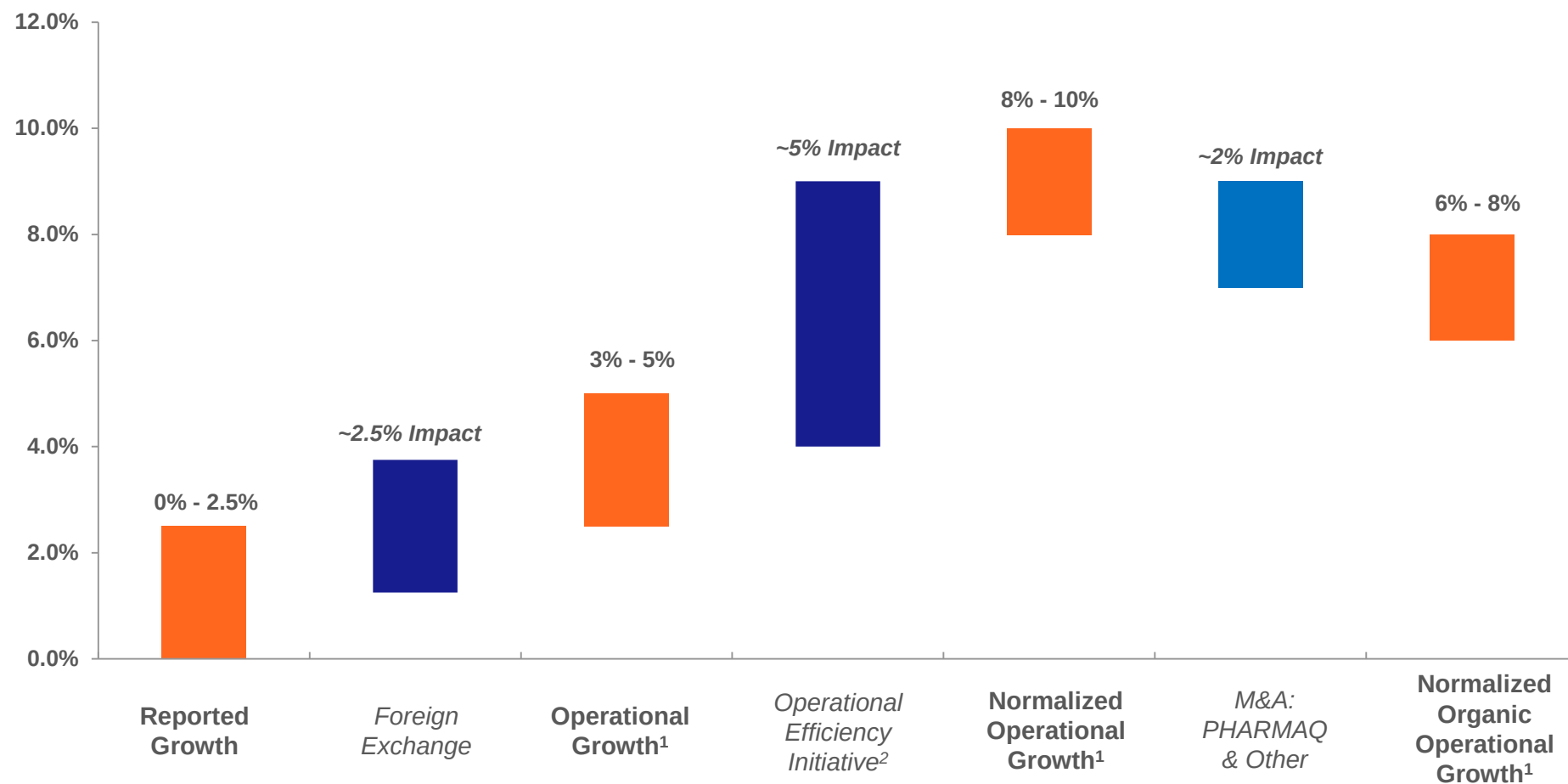
¹Operational growth excludes the impact of foreign exchange

²Adjusted net income and its components and adjusted diluted EPS are defined as reported U.S. generally accepted accounting principles (GAAP) net income and its components and reported diluted EPS excluding purchase accounting adjustments, acquisition-related costs and certain significant items. Adjusted EBIT excludes interest expense net of capitalized interest, interest income and adjusted income taxes.

³Primarily includes certain nonrecurring costs related to restructuring, net gains on sales of assets, and other charges for the operational efficiency initiative and supply network strategy, becoming an independent public company, such as new branding (including changes to the manufacturing process for required new packaging), the creation of standalone systems and infrastructure, site separation, and certain legal registration and patent assignment costs



2016 REVENUE GUIDANCE



¹Operational growth excludes the impact of foreign exchange

²Includes impact of Venezuela business reduction

ONE TIME COSTS 2015 - 2017

Pre-tax Charges¹ (millions of dollars)	2015 - 2017
Stand-up costs, acquisition-related costs and other ²	\$270 to \$290
Operational efficiency initiative	\$330 to \$360
Supply network strategy	\$60 to \$80
Certain significant items and acquisition-related costs	\$660 to \$730

¹Excludes non-cash charges of \$57 million in 2015

²Includes charges of \$93 million in 2015 for revaluation of Venezuela bolivar-denominated assets and liabilities

Q&A

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